

Globalization The free flow of money, *goods*, or people across international borders, leading to increasing integrated *markets* and further economic interdependence between countries.

GNP Gross national product. Total value of all *goods* and *services* made in one year by a country's businesses, whether their *production* is based at home or abroad.

Goods A term for physical products or raw materials that are sold to satisfy consumer *demand*.

Government A system or process of running a country, or the people that run it. Economists debate government involvement in the economy.

Growth An increase in the potential output of an economy over a period of time. It can be measured by comparing one country's *GDP* with another's, *per capita* (per head of population).

Hedge Reducing risk by taking on a new risk to offset an existing one. Hedge funds are *investment* funds that pool *capital* from a limited number of wealthy, accredited individuals and institutions and invest it in a variety of *assets*.

Imports The purchase of *goods* and *services* from other countries. The opposite of *exports*.

Industry A general term for the *production* of *goods* or *services*. It is also used to describe a particular field, such as the oil industry or the film industry.

Inflation A persistent rise in the price of *goods* and *services* over time. The opposite of *deflation*.

Interest The cost of borrowing money. Interest payments reward lenders for the risk they take in lending their money to borrowers.